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Circular No. SEC/2026/E/.02

Specific Instructions Applicable to Registered Persons Making Supplies on a Non-Foreign Exchange (NFE) Basis to another registered person who manufactures goods for export

Under Non-Foreign Exchange (NFE) transactions, an overseas buyer places orders with a local manufacturer for export purposes on the basis that the required raw materials are supplied to the manufacturer without cost. In such instances, the raw materials remain the property of the overseas buyer and are provided solely for conversion into finished goods, which are subsequently exported to the same buyer.

In certain cases, an overseas buyer may place export orders with a local goods manufacturer under NFE basis where the required raw materials are procured from a local raw materials supplier. At the request of the overseas buyer, such raw materials are delivered directly by the local supplier to the manufacturer for the purpose of export production. Payment for these raw materials is made directly by the overseas buyer to the local supplier in foreign currency.

In this context, the supply of raw materials by the local supplier to the manufacturer is treated as a taxable supply for the purposes of Value Added Tax (VAT), in accordance with the provisions of the Value Added Tax Act, No. 14 of 2002 (as amended). Previously, such transactions were facilitated under the Simplified Value Added Tax (SVAT) Scheme, whereby both the NFE manufacturer and the NFE supplier operated under designated categories, supported by SVAT credit vouchers to account for the VAT applicable on such supplies.

However, following the repeal of the SVAT Scheme, there is no explicit framework governing the treatment of NFE transactions, resulting in practical challenges in their implementation.

Accordingly, the following guidelines are issued to establish a clear and consistent procedure for managing supplies conducted under NFE basis.

These instructions apply where a registered person supplies goods on Non-Foreign Exchange (NFE) basis or on non-cash basis, on behalf of a foreign purchaser to another registered person who manufactures goods for export.

For the purposes of these instructions:

- (i). The registered person supplying such goods shall hereinafter be referred to as the “NFE Supplier”; and
- (ii). The registered person who manufactures the goods for export shall hereinafter be referred to as the “NFE Manufacturer.”

The NFE Supplier shall issue a Tax Invoice in accordance with section 20 of the Value Added Tax Act, No. 14 of 2002, as amended (hereinafter referred to as the "VAT Act"), in respect of supplies made on NFE or non-cash basis, subject to strict compliance with the following conditions:

- (a) The NFE Supplier shall obtain a written delivery request from the NFE manufacturer for the delivery of such goods. Such delivery request shall mandatorily include:
 - i A description of the goods to be purchased;
 - ii The quantity of goods; and
 - iii The names and addresses of the foreign purchaser to whom the finished products are intended to be exported.
 - iv Purchase order reference number and date received to the NFE supplier from the foreign purchaser for the raw materials.
- (b) The NFE Supplier shall possess a valid purchase order issued by the foreign purchaser, containing instructions to deliver the goods directly to the NFE manufacturer. The name and address of the issuer of such purchase order, together with the description and quantity of goods, shall be identical to the details stated in the delivery request referred to in paragraph (a) above.
- (c) Settlement for such supplies shall be made exclusively through foreign currency received directly from the foreign purchaser through a bank in Sri Lanka licensed under the Banking Act, No. 30 of 1988.
- (d) No settlement shall be made from any other source. Any adjustment, set-off, or settlement of a third-party liability of the foreign purchaser, whether effected with or without the foreign purchaser's consent, shall not be permitted.
- (e) The NFE Manufacturer shall export the finished goods solely to the same foreign purchaser referred to in the relevant delivery request and purchase order. The finished goods shall not be exported to any third party, whether with or without the consent of the foreign purchaser.
- (f) The NFE Manufacturer shall pay the Value Added Tax (VAT) amount relating to the NFE supply which is specified in the Tax Invoice to the NFE Supplier.
- (g) Subject to compliance with the provisions of Section 22 of the VAT Act, the NFE Manufacturer may claim the VAT paid as input tax against its output tax. However, the value of such purchases shall not be deducted as an expense by the NFE Manufacturer when determining its profit or loss for the income tax purpose.
- (h) The NFE Manufacturer shall declare the local value addition, commonly referred to as "Cut and Make Charges" in VAT Schedule 06, even though the export documentation reflects the national FOB value, which includes both the cost of raw materials and local value addition. However, the NFE Manufacturer shall provide a reconciliation for any discrepancies in export documentation and foreign currency remittances.

- (i) The NFE Manufacturer shall declare all tax invoices issued on an NFE basis in VAT Schedule 02, including the term "NFE" in the description of the goods.
- (j) The NFE Supplier shall declare all tax invoices issued on an NFE basis in VAT Schedule 01, including the term "NFE" in the description of the goods.
- (k) Both the NFE Supplier and NFE Manufacturer shall maintain all supporting documents substantiating the information declared in the relevant VAT forms and shall produce such documents when required by the Commissioner-General or any authorized officer.



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